SEAT NO. CR-23009

NED UNIVERSITY OF ENGINEERING & TECHNOLOGY

SECOND YEAR (CS & IT (SPECIALIZATION IN CYBER SECURITY/ CS & IT (SPECIALIZATION IN "GAMING AND ANIMATION")
SPRING SEMESTER EXAMINATIONS 2025
Batch 2023

Time: 3 Hours

Dated:29-05-2025
Max.Marks:60

Financial & Cost Accounting – EC-209

QUESTION 1: CLO # 01 Define Accounting and explain its history

Differentiate the following **(10 Marks)**

a) Financial and Cost Accounting
b) Periodic and Perpetual cost accumulation system
c) Process and Job order costing
d) Fixed cost and Variable Cost
e) Normal and Expected productive capacity

QUESTION 2: CLO # 01 Define Accounting and explain its history

ALD Corporation has five service department and two producing departments. The budgeted cost for the period for each department were as follows: **(10 Marks)**

Service departments (total costs)	
Building and ground	20,000
Personnel	2,000
General factory administration	52,180
Cafeteria	3,280
Storeroom	5,340

Producing departments (factory overhead costs)	
Machinery	69,400
Assembly	97,800

The following scheduled was prepared for accounting department to aid in allocating service department cost.

Department	Direct Labor Hours	Number of Employees	Square feet	Total Labor Hours	Number of Requisitions
Building and ground					
Personnel			4,000		
General factory administration		70	14,000		
Cafeteria		20	8,000	2,000	
Storeroom		10	14,000	2,000	
Machinery	10,000	100	60,000	16,000	4,000
Assembly	20,000	200	100,000	34,000	2,000
	40,000	400	200,000	54,000	6,000

Management decided that the appropriate bases used by each service department would be the following:

Building and ground: Square feet
General factory administration: total labor hours
Storeroom: employees
Personnel: employees
Cafeteria: employees

Direct labor hours are used as the basis for computing the producing departments factory overhead application rate.

Required:

a) **Allocate the total budgeted costs of the services department to the producing department by using the direct method**
b) **Calculate the factory overhead application rate on the basis of direct labor** 6.94, 4.89

QUESTION 3: CLO # 02 Identify the fundamental concept of generally accepted accounting principles

The following data relates to M/s Alpine Co. for the month of September, 2012 .

a. Material purchased on account Rs.120,000
b. Material requisitioned and Factory labor used

	Material	Factory-Labor
Job No. 501	Rs. 13,000	Rs.19,000
Job No. 502	9,000	15,520
Job No. 503	22,400	14,080
Job No. 504	17,600	20,800
Job No. 505	14,000	7,200
Job No. 506	7,000	3,600
For general factory use	**2,900**	**6,400**

c. Factory overhead cost incurred on account Rs.68,800
d. Depreciation of machinery Rs.10,400
e. The factory overhead rate is 110% of direct labor cost
f. Job completed: No. 501, 503, 504 and 506
g. Job no. 501, 503 and 504 were shipped and customers were billed for Rs. 84,000, Rs. 85,000 and Rs. 100,000

under app 280

Required: Record the transactions in general journal and close the factory overhead account

(10 Marks)

QUESTION 4: CLO # 02 Identify the fundamental concept of generally accepted accounting principles

The Capricorn corporation has the following information related to applied and actual factory overhead:

(10 Marks)

Factory overhead control	30,500
Applied factory overhead	39,700
Applied factory overhead costs are in the following accounts	
Cost of goods sold	32,000
Ending work in process inventory	3,500
Ending finished goods inventory	4,200

Required:

a) **Allocate the under or overapplied FOH.**
b) **Prepare the end of the period journal entries**

QUESTION 5: CLO # 03 Prepare Financial Statements using adjusted trial balance

The Trial balance of Suds Laundromat at July 31, 2021, the end of current fiscal year, and the data needed to determine year- end adjustment are as follow. **(12 Marks)**

Suds Laundromat
Trial Balance
As on July 31, 2021

Cash	6,290	
Laundry Supplies	3,850	
Prepaid Insurance	2,400	
Laundry Equipment	81,600	
Accumulated. Dep.		52,700
Accounts Payable		3,950
Capital		33,900
Drawings	16,600	
Laundry Revenue		66,900
Wages Expense	22,900	
Rent Expense	14,400	
Utilities Expense	8,500	
Miscellaneous Expense	910	
	157,450	157,450

Additional Information for Adjusting entries:

- Laundry supplies on hand at July 31 are Rs 1000.
- Insurance premium unexpired during the year are Rs 1500.
- Outstanding salaries Rs. 2000.
- Commission Receivable Rs. 250..

Required: Prepare Work Sheet including:

i. Adjusting Entries (4 Marks)
ii. Income Statement (4 Marks) 67150
iii. Balance Sheet (4 Marks) 107240

QUESTION 6: CLO # 03 Prepare Financial Statements using adjusted trial balance

Selected account balances for the year ended December 31 are provided below for Superior Company:

Selling and administrative salaries . . . . . Rs. 110,000
Purchases of raw materials . . . . . Rs. 290,000
Direct labor . . . . . ? 93,000
Advertising expense . . . . . Rs. 80,000
Manufacturing overhead . . . . . Rs. 270,000
Sales commissions . . . . . Rs. 50,000

Inventory balances at the beginning and end of the year were as follows:

	Beginning of the Year	End of the Year
Raw materials	Rs. 40,000	Rs. 10,000
Work in process	92,000	Rs. 35,000
Finished goods	Rs. 50,000	? 80,000

The total manufacturing costs for the year were Rs. 683,000; the goods available for sale totaled Rs. 740,000; and the cost of goods sold totaled Rs. 660,000.

Required: Prepare a schedule of cost of goods manufactured and the cost of goods sold statement for the year. **(Marks 8)**